Corporate Performance

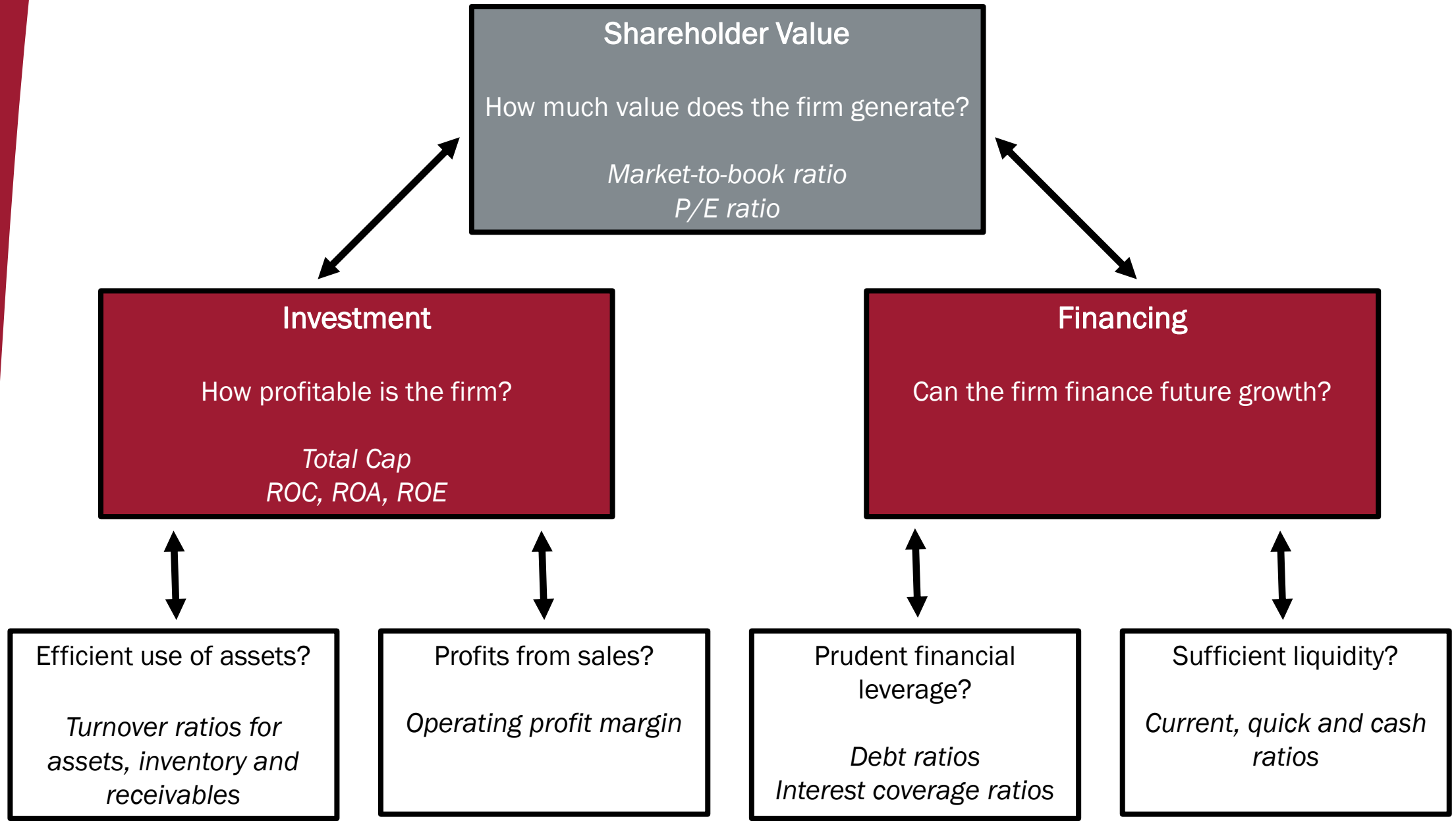
Chapter 3

Introduction to Financial Management (Pope)

Corporate Performance

Traditionally, measuring corporate performance (health) is done through **financial ratios**

- relationships between different accounts from financial statements—usually the income statement and the balance sheet—that serve as performance indicators
- Time, industry and objective
- ***Make sure you understand the "story" the ratios are telling***


Shareholder Value
How much value does the firm generate?
Market-to-book ratio
P/E ratio
Investment
How profitable is the firm?
Total Cap
ROC, ROA, ROE
Financing
Can the firm finance future growth?
Efficient use of assets?
Turnover ratios for assets, inventory and receivables
Profits from sales?
Operating profit margin
Prudent financial leverage?
Debt ratios
Interest coverage ratios
Sufficient liquidity?
Current, quick and cash ratios

Shareholder Value Ratios

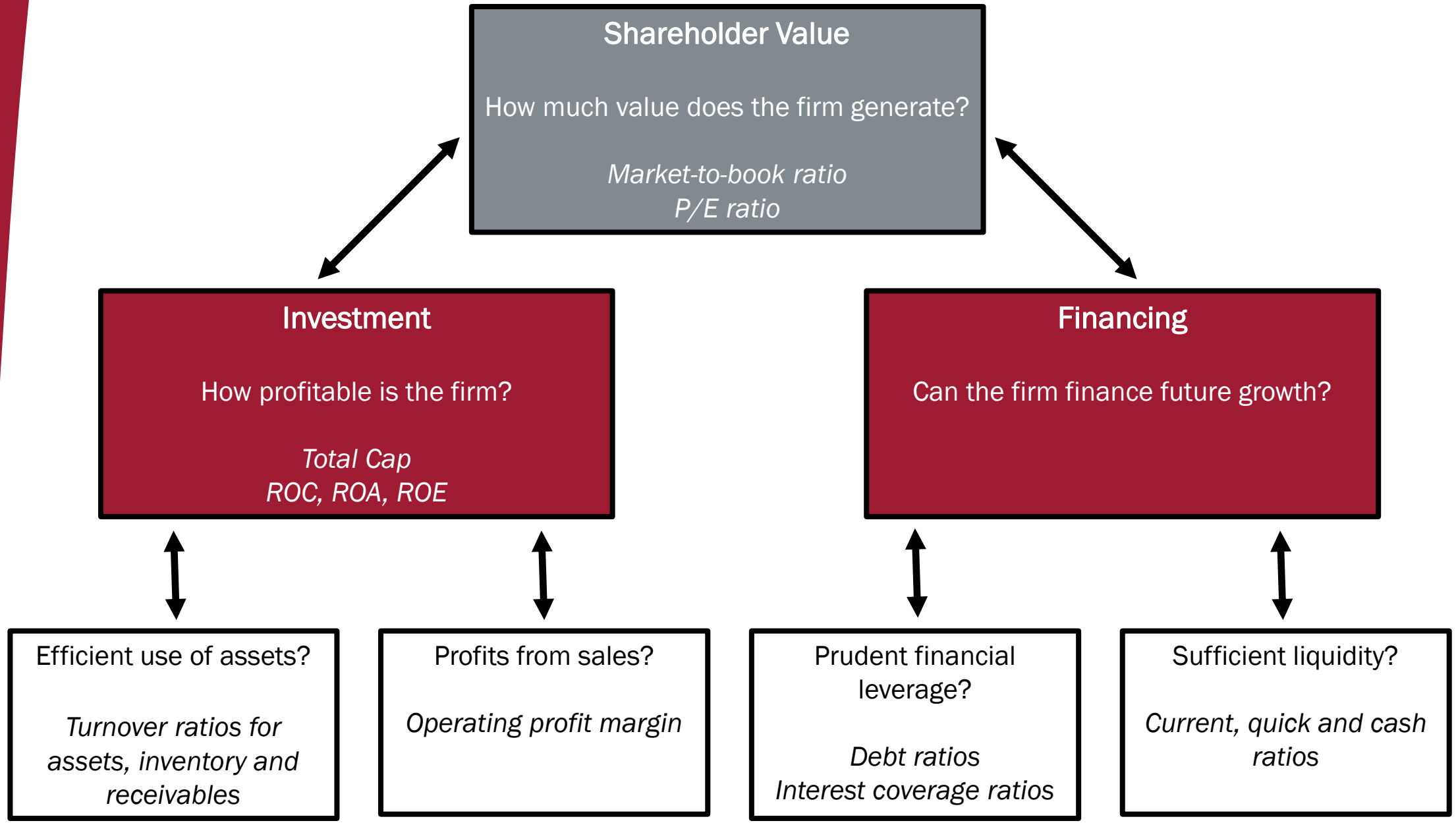
Ratio	Formula
Market Capitalization (Market Cap)	#shares × price per share
Market-to-Book Ratio	$\frac{\text{market cap}}{\text{book value of equity}}$
Price to Earnings Ratio (P/E Ratio)*	$\frac{\text{price per share}}{\text{earngins per share}}$

**There is a large amount of nuance in how this measure is interpreted.*

Table 4.3: Shareholder Values

A ranking of select companies as of September 2024

Stock	Market Cap (billions)	Market-to-Book	Price to Earnings (trailing)
Microsoft	3,040	11.34	34.7
Apple	3,380	50.74	33.8
Procter & Gamble	410	8.29	28.99
Coca-Cola	314	12.17	29.68
Intel	86	0.75	83.75
Verizon	180	1.88	16.14
Adobe	253	17.06	51.40
Walt Disney	161	1.61	34.15
Home Depot	362	81.97	24.51
AT&T	146	1.39	11.74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Investment Ratios

Ratio	Formula
Total Capitalization (total cap)	Long-term debt + shareholders' equity
Return on Capital (ROC/ROIC)	$\frac{\text{net income}}{\text{total cap}}$
Return on Assets (ROA)	$\frac{\text{net income}}{\text{total assets}}$
Return on Equity (ROE)	$\frac{\text{net income}}{\text{equity}}$

COST vs WMT

COST Market Cap*: $394B

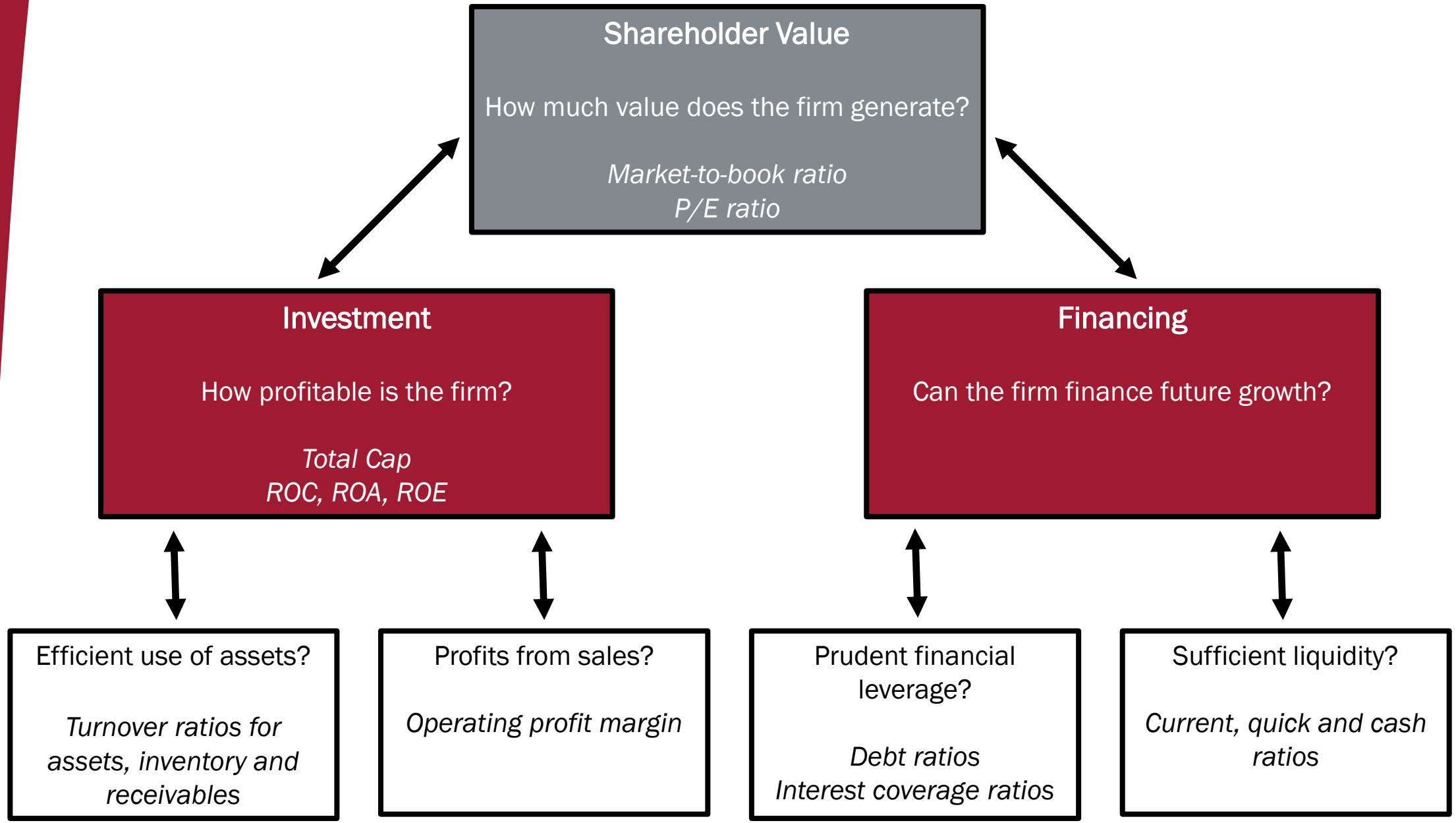
COST Revenues*: $253B

WMT Market Cap*: 620B

WMT Revenues: $665B

**as of September 2024*

		Costco	Walmart
Performance measures			
Market Cap	price times number of shares outstanding (millions)	$394,577	$620,875
Market-to-book	market value of equity/book value of equity	17.89	7.34
Price to earnings	price/earnings per share	54.64	32.44
Profitability Measures			
Total Cap	long-term debt plus equity	$31,068	$152,076
Return on assets (ROA)	after-tax operating income/total assets	10.65%	6.10%
Return on capital (ROC)	after-tax operating income/(long-term debt + equity)	22.95%	11.95%
Return on equity (ROE)	net income/equity	31.64%	18.97%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Efficiency Ratios

Ratio	Formula
Receivables turnover ratio	$\frac{\text{sales}}{\text{receivables}}$
Days Sales Outstanding (Average collection period)	$\frac{\text{receivables}}{\text{sales}/365} = \frac{365}{\text{receivables turnover}}$
Inventory turnover ratio	$\frac{\text{cost of goods sold}}{\text{inventory}}$
Days Held in Inventory (Average days in inventory)	$\frac{\text{inventory}}{\text{cost of goods sold}/365} = \frac{365}{\text{inventory turnover}}$

Efficiency Ratios

Ratio	Formula
Payables turnover ratio	$\frac{\text{cost of } goods\ sold}{\text{accounts payable}}$
Days payable	$\frac{\text{accoutns payable}}{\text{cost of goods sold}/365} = \frac{365}{\text{payables turnover}}$
Asset turnover ratio	$\frac{\text{sales}}{\text{total assets at start of year}}$

$$Net\ Operating\ Cycle$$
$$= Days\ Sales\ Outstanding + Days\ Held\ Inventory\ - Days\ Payable$$

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Efficiency Measures			
Receivables turnover	sales/receivables	99.8	80.4
Days sales outstanding	receivables/daily sales	3.7	4.6
Inventory turnover	cost of goods sold/inventory	13.2	8.9
Days in inventory	inventories/daily cost of goods sold	28.2	41.0
Payables turnover	Cost of goods sold/accounts payable	12.5	8.8
Days payable	Accounts payable/daily cost of goods sold	29.7	41.5
Asset turnover	sales/total assets	3.8	2.6

Profitability Ratios (Dupont)

Ratio	Formula
Gross Profit Margin	$\frac{\text{gross profit}}{\text{sales}}$
Operating profit margin	$\frac{\text{operating profit}}{\text{sales}}$
Net Profit Margin	$\frac{\text{net income}}{\text{sales}}$

$$\text{ROA} = \underbrace{\frac{\text{net income}}{\text{sales}}}_{\substack{Net \\ profit\ margin}} \times \underbrace{\frac{\text{sales}}{\text{total assets}}}_{Asset\ turnover} = \frac{\text{net income}}{\text{total assets}}$$

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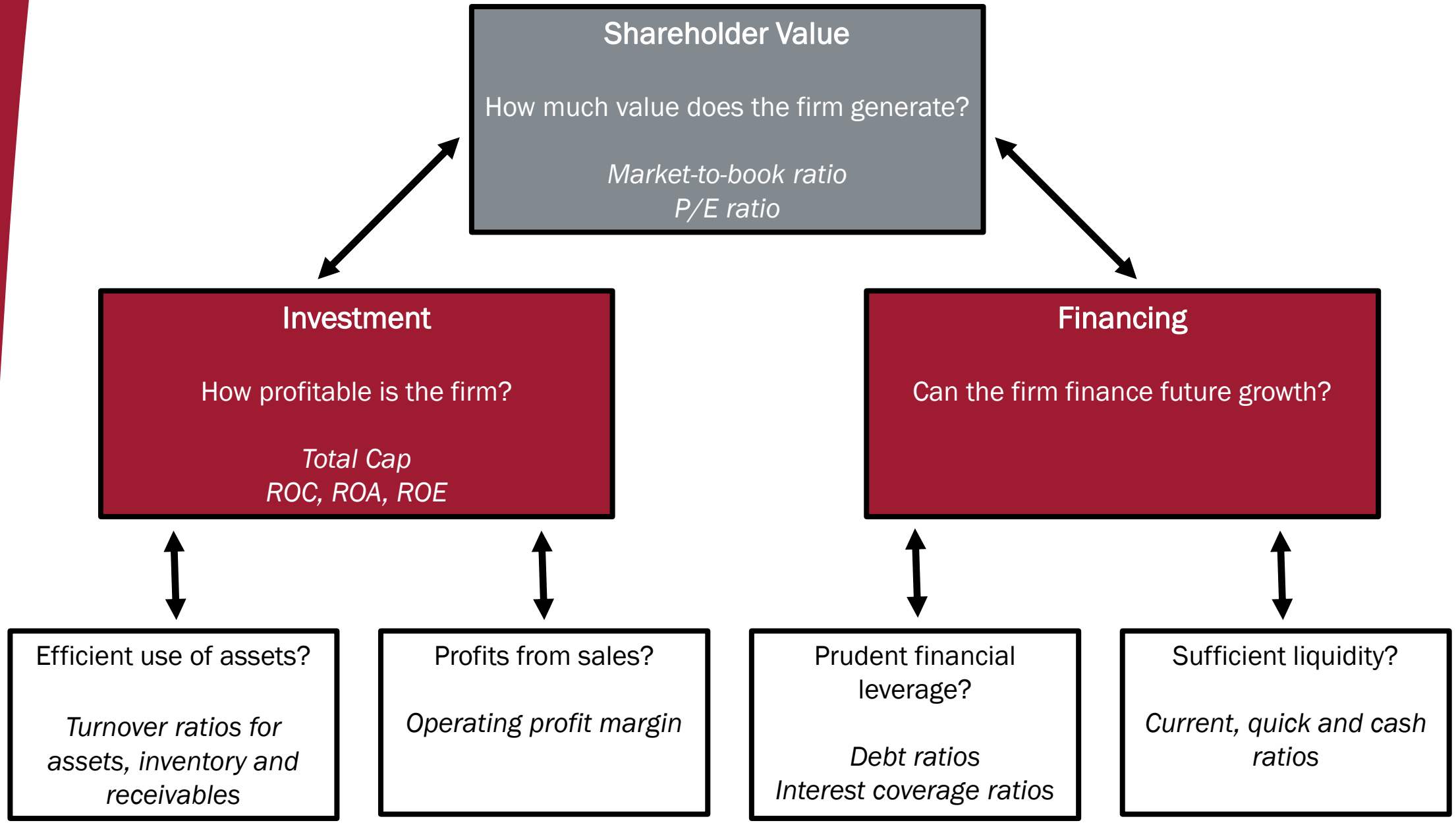
Efficiency Measures			
Gross profit margin	gross profit/sales	12.4%	24.3%
Net Profit margin	net income/sales	2.9%	2.6%
Asset turnover	sales/total assets at start of year	3.77	2.61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Leverage Ratios

Ratio	Formula
Debt-to-asset ratio	$\frac{\text{total liabilities}}{\text{total assets}}$
Debt-equity ratio	$\frac{\text{long} - \text{term debt}}{\text{equity}}$
Times interest earned	$\frac{\text{EBIT}}{\text{interest payments}}$
Cash coverage ratio	$\frac{\text{EBIT} + \text{depreciation}}{\text{interest payments}}$

Dupont Analysis

$$\text{ROA} = \underbrace{\frac{\text{net income}}{\text{sales}}}_{\substack{Net \\ profit\ margin}} \times \underbrace{\frac{\text{sales}}{\text{total assets}}}_{Asset\ turnover} = \frac{\text{net income}}{\text{total assets}}$$

$$\text{ROE} = \underbrace{\frac{\text{net income}}{\text{sales}}}_{\substack{Net \\ profit\ margin}} \times \underbrace{\frac{\text{sales}}{\text{total assets}}}_{Asset\ turnover} \times \underbrace{\frac{\text{total assets}}{\text{equity}}}_{Equity\ multiplier} = \frac{\text{net income}}{\text{equity}}$$

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Leverage Measures			
Debt-to-asset ratio	Total liabilities/total assets	0.137	0.241
Debt-equity ratio	long-term debt/equity	31.4	60.49
Times interest earned	EBIT/interest payments	53.59	14.25
Net profit margin	net income/sales	2.9%	2.6%
Asset turnover	sales/total assets at start of year	3.77	2.61
Return on assets (ROA)	net income/total assets	10.65%	6.10%

Liquidity Ratios

Ratio	Formula
Current ratio	$\frac{\text{current assets}}{\text{current liabilities}}$
Quick ratio	$\frac{\text{cash} + \text{marketable securities} + \text{receivables}}{\text{current liabilities}}$

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		Costco	Walmart
Liquidity Measures			
Current ratio	current assets/current liabilities	0.94	0.80
Quick ratio	(cash + marketable securities + receivables)/current liabilities	0.40	0.17